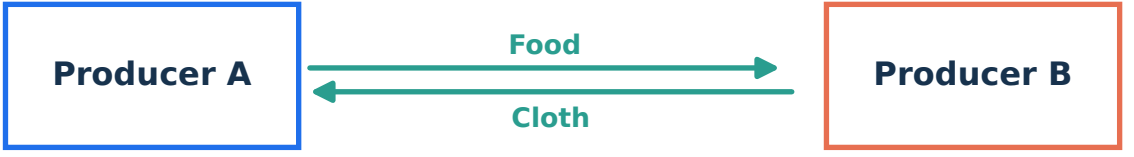
Specialization and mutually beneficial trade

Opportunity cost determines specialization; terms of trade connect the two producers.



Specialization → exchange → a larger attainable consumption set

Source: APMICRO illustrative data / comparative-advantage.csv. | Schematic teaching diagram; arrows show direction of trade.